

Secure Bhavishya

Individual, Linked Pension
Plan



"This is the authorized presentation and should not be altered without the permission of the Insurance Company."

Version: Nov'19

Product Proposition and Key Benefits

Key Benefit of Secure Bhavishya Plan



Guaranteed Vesting Benefit of 101% of premiums paid (including top-up premiums, if any), provided all due premiums are paid



Option to choose **Vesting age** and **premium payment term** as per requirements



Partial Withdrawals to provide flexibility in case of financial emergency

Unlimited top-ups can be paid depending upon retirement needs



Loyalty Additions to boost fund value by way of additions at the end of 10th year and then at interval of every 5 policy years



Flexibility to choose **Annual** or **Monthly** premium payment modes



***Provided all premiums are paid as when due;*

Product Feature/Customer Benefits

Benefits for Customer

Secure Bhavishya Plan



Retirement Savings / Corpus Accumulation

Option to select Premium Payment Term

Option to select Vesting
age



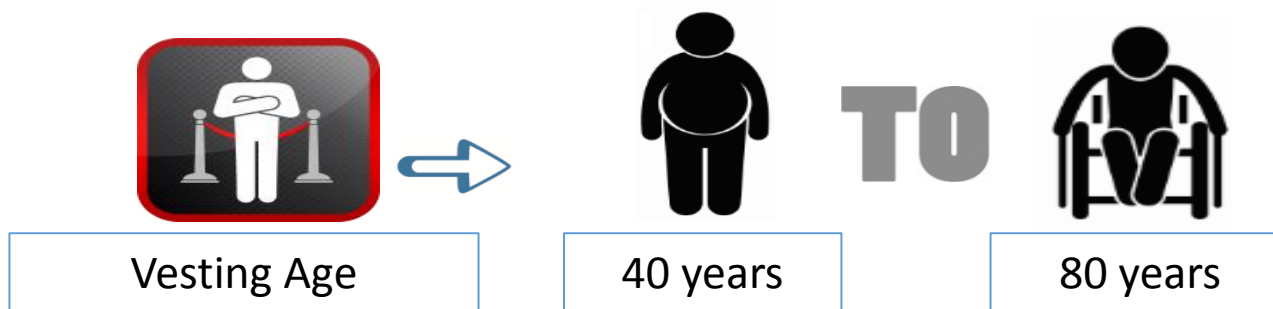
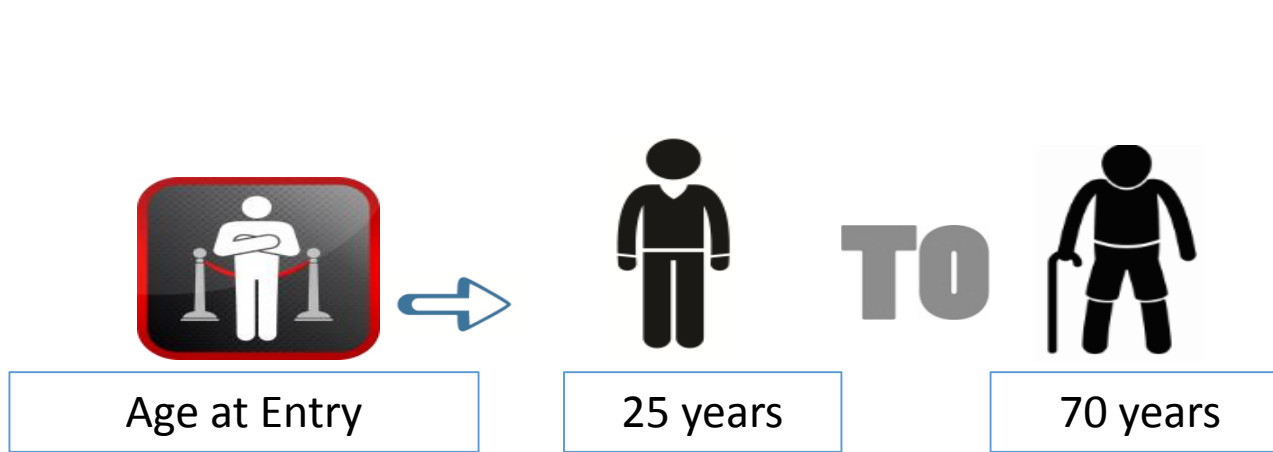
Option of Monthly
and Annual Modes

Flexibility



Loyalty Additions at the end of 10th year
& then at interval of every 5 policy years

Product Features Boundary Conditions



Annual & Monthly Modes
available



Please note that it is mandatory to pay first 3 month's premium in advance if monthly mode of premium payment has been chosen

Minimum Premium:

Single Pay: ₹ 3 lac

Annual Premium

PPT of 5 to 9 years: ₹ 50,000

PPT ≥ 10 years: ₹ 25,000

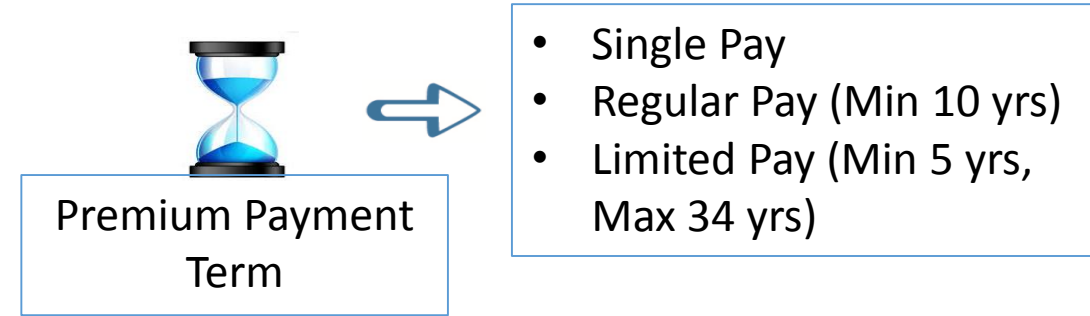
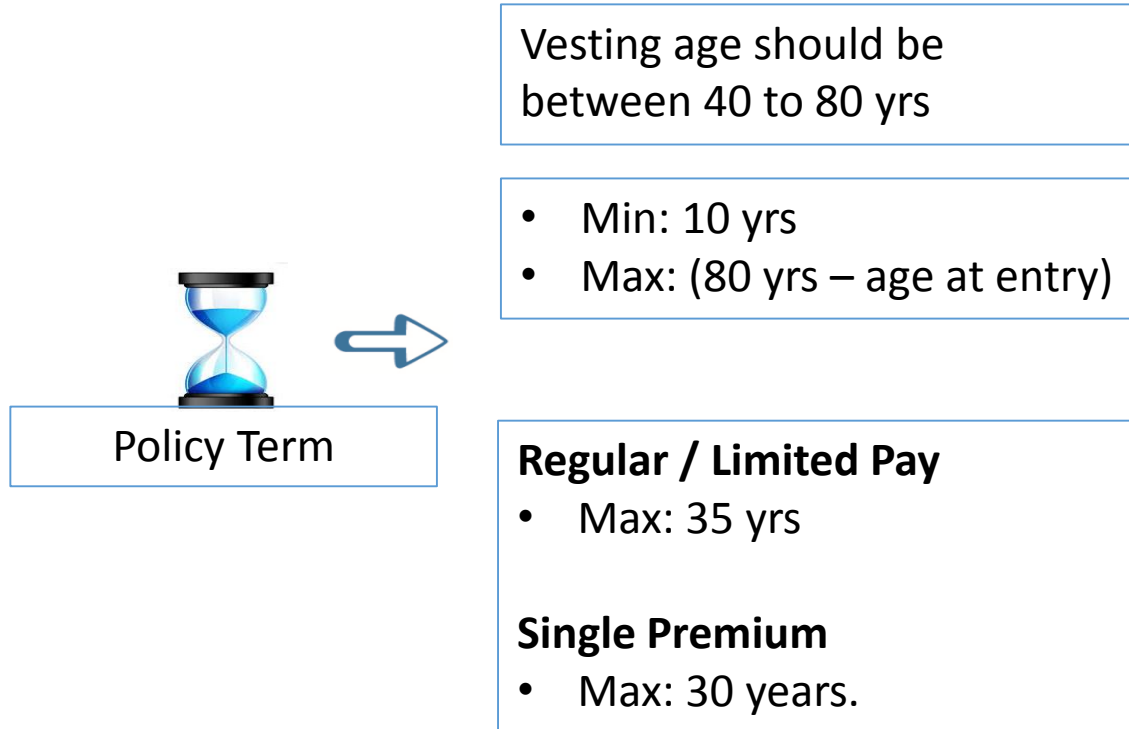
Monthly Premium

PPT of 5 to 9 years: ₹ 5,000

PPT ≥ 10 years: ₹ 3,000

Product Features

Boundary Conditions



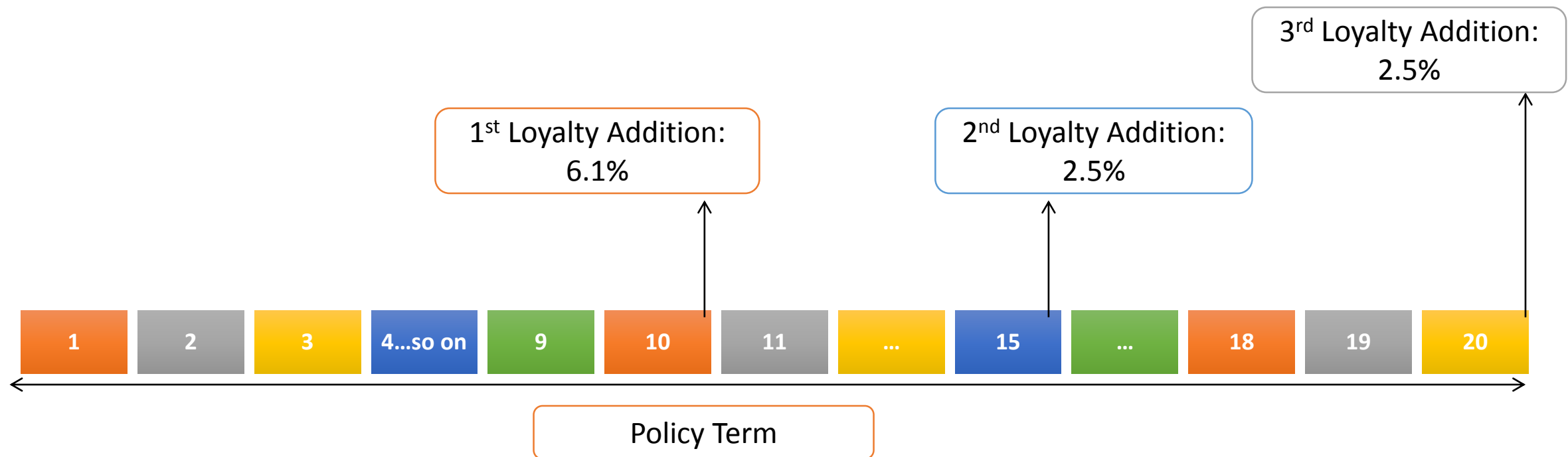
Option to increase Policy Term /accumulation period

- At any time, Vesting age (Policy Term) can be extended (within the maximum limits) by giving a written notice of at least 3 (Three) months prior to the Vesting Date provided policyholder/LA/Annuitant is less than 60 years of age as on that date.
- For Regular pay variant, there will be an additional option to extend the accumulation period along with Vesting age (wherein the customer will pay the premiums as well)

Product Features

Loyalty Additions – (1/2)

%age of average Fund Value of 60 monthly policy anniversaries preceding the anniversary for the policy month in which Loyalty Additions are paid



- Payable only if the Life Assured is alive and all due premiums have been paid to that date
- Added by creation of additional units in the fund in which units under the policy have already been allocated as at the date of creation of Loyalty Additions.

At the end of policy year	Loyalty Additions rate
10 th	6.1%
15th and so on at an interval of every 5 policy years	2.5%

Product Features

Vesting Benefit

- **Higher of**
 - Fund Value or
 - Guaranteed* Vesting Benefit

*Benefit is guaranteed subject to payment of all due premiums.

Product Feature/Customer Benefits

Options on Vesting

Commutation



- Commute up to 60% and utilize the balance amount to purchase immediate/deferred annuity from the Company, which shall be guaranteed for life, at the then prevailing annuity/pension rates.

100% Pension



- Utilize entire proceeds of policy for purchasing an immediate/deferred annuity at the then prevailing annuity rate of the Company
- Customer will have option to purchase immediate/deferred annuity from any other insurer at the then prevailing annuity rate to the extent of percentage, stipulated by the Authority, currently 50%, of entire proceeds of the policy net of commutation

Extend Accumulation or Defer Vesting date



- Extend Accumulation period or Defer the vesting date subject to maximum Vesting age) within the same policy, with same terms and conditions, provided policyholder is less than 60 years of age as on that date
- For option 3 above, for single pay or limited pay variant, only deferment of Vesting date is allowed subject to maximum Vesting age of 80 years. No premiums are to be paid for the extended period
- For regular premium policies, there will be an option to extend the accumulation period i.e. premium payment period along with deferment of Vesting Date

Product Feature/Customer Benefits

Death Benefit

Higher of

1. Fund Value, **OR**
2. 105% of total premiums paid (including top-up premiums)

Option to Nominee on death of the Life Assured;

OPTION 1

- Utilize entire proceeds of policy or part thereof for purchasing an immediate/deferred annuity at the then prevailing rate from the Company
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

OPTION 2

- Withdraw entire proceeds of the policy

Product Feature/Customer Benefits

Top-Up Premiums

- Allowed to be paid throughout the policy term, except in the first and the last policy year
- Minimum Top-up premium : ₹ 10,000
- Accepted only if all the due premiums have been received by the company
- Not allowed to withdraw from the fund for a period of 5 years from the date of payment of the Top-up premium, except in case of complete surrender of the policy or upon vesting

Product Feature/Customer Benefits

Partial Withdrawal – (1/2)



Partial Withdrawal Benefit

Allowed from 6th Policy Year onwards, provided all due premiums for first 5 policy years have been paid

Minimum Partial withdrawal : ₹ 10,000/- (all partial withdrawals to be in multiple of 1000)

Request for partial withdrawal can only be made 3 times during the entire term of the policy (including extension of the accumulation period or deferment period).

Maximum Partial withdrawal

25% of Fund Value at the time of partial withdrawal

[Subject to Fund value, not being lesser than 120% Annualized premium post Partial Withdrawal in case of Regular/ Limited Premium payment policies and at least 25% of the Single Premium in case of Single Premium payment policies]

Product Feature/Customer Benefits

Partial Withdrawal - (2/2)



Partial Withdrawal Benefit

Partial Withdrawals will only be allowed against the below stipulated reasons (subject to submission of valid documents as requested by the Company):

- 1) Higher education of children
- 2) Marriage of children
- 3) For the purpose or construction of residential house
- 4) For the treatment of critical illnesses of self or spouse

- Partial Withdrawals made will be allowed from the fund built up from the top-up premiums, if any, as long as such fund supports the partial withdrawal and subsequently, the partial withdrawals may be allowed from the fund built up from the base premium

Product Feature/Customer Benefits Investment Fund Options

Fund Names		Pension Growth Fund		Pension Balanced Plus		Pension Debt Fund	
		Min	Max	Min	Max	Min	Max
Components	Equity [#]	10%	60%	0%	30%	0%	0%
	Debt Securities,	20%	100%	20%	100%	20%	100%
	Money Market instruments & Others*	0%	80%	0%	80%	0%	80%
Risk Profile		Medium to High		Medium		Low	

#All such equity related securities as may be permitted from IRDAI from time to time

**Others will include investments in Liquid Mutual Funds, FDs and other short term investments*

Product Feature/Customer Benefits

Pension Discontinued Policy Fund

Fund Names		Pension Discontinued Policy Fund*	
		Minimum	Maximum
Components**	Equity	-	-
	Government Securities	60%	100%
	Money Market	0%	40%
Risk Profile		Low	

^ Only available in case of policy surrender during the first five policy years.

*** These are subject to revision as guided by regulation from time to time*

Product Feature/Customer Benefits

Investment Strategy – (1/2)

- Policyholder's monies (including Top-Up premium) invested in Pension Growth Fund only upto Policy Term (PT) minus 6 years
- PT minus 5 is a transition year during which Funds transferred from Pension Growth Fund to Pension Balanced Fund in systematic manner
- There will be a gradual shift in 5 quarterly tranches during the PT minus 5 year such that at the beginning of PT minus 4 year, 100% of the fund would have been moved to Pension Balanced Fund

During (PT-5 th) policy year, at beginning of quarter	Proportion of Fund transferred from Pension Growth Fund to Pension Balanced Fund
1	1/5 of Fund Value in Pension Growth Fund
2	1/4 of remaining Fund Value in Pension Growth Fund
3	1/3 of remaining Fund Value in Pension Growth Fund
4	1/2 of remaining Fund Value in Pension Growth Fund

Product Feature/Customer Benefits

Investment Strategy - Benefits & Conditions (2/2)

- Due to Investment Strategy, funds flow from riskier assets to less risky assets, thereby protecting the investments from any volatile market / short term fluctuations in the equity market, closer the policy get to time of Vesting
- Option to switch any proportion of funds from Pension Balanced Fund to Pension Debt Fund only in the last 5 policy years
- Switching from Pension Debt Fund to any other Fund is not allowed
- Renewal Premiums and Top-ups in last 5 years shall be invested in Pension Balanced Fund
- In the last five years, customer can choose premium re-direction option through which he/she can select Pension Debt fund for renewal premiums / top-ups investment

Product Feature/Customer Benefits

Switching Facility

- Switch investments from Pension Balanced Fund to Pension Debt Fund during last five policy years
- Minimum Switch Amount : Rs. 10,000/-
- First 6 switches in a policy year are free of charge
- Switch either a percentage of investments or an absolute amount
- Switching of funds is not allowed from Pension Growth Fund and Pension Debt Fund

Product Feature/Customer Benefits

Premium Redirection Facility

- Opt to change the allocation of your renewal premiums / top-ups to Pension Debt Fund during last 5 policy years
- Allowed only once in a Policy Year and is **free of cost**
- Revised allocation proportion will apply to subsequent Premiums
- In case this option is not availed, it cannot be carried forward to the next Policy Year

Product Feature/Customer Benefits

Surrender/Discontinuance – (1/2)

Surrender during Lock-in Period

- If the Policy is surrendered within the first 5 Policy Years, surrender value (Fund Value less applicable surrender charges) will be transferred to Pension Discontinued Policy Fund and will earn at least a minimum guaranteed interest rate of 4% per annum or as prescribed by IRDAI from time to time
- Proceeds of discontinued Policy Fund at the end of the Lock-in-Period can be utilized by exercising one of the following options:

Commutation



- Commute up to 60% and utilize the balance amount to purchase immediate/deferred annuity at the then prevailing rate from the Company
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

100% Pension



- Utilize entire proceeds of policy or part thereof for purchasing an immediate/deferred annuity at the then prevailing rate from the Company
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

Product Feature/Customer Benefits

Surrender/Discontinuance – (2/2)

Surrender after Lock-in Period

- If the policy is surrendered after completion of 5th policy year, the surrender value (equals to the Fund Value) can be utilized by exercising one of the following options:

Commutation



- Commute up to 60% and utilize the balance amount to purchase immediate/deferred annuity at the then prevailing rate from the Company, which will be guaranteed for life
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

100%

Pension



- Utilize entire proceeds of policy or part thereof for purchasing an immediate/deferred annuity at the then prevailing rate from the Company, which will be guaranteed for life
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

Discontinuance of Policy during Lock-in Period - (1/2)

- If due Premium is not received by expiry of Grace Period, Fund Value less applicable Discontinuance Charges will be transferred to the Discontinued Policy Fund (DPF) and risk cover under the Policy will cease
- On such Discontinuance, Company will communicate the status of Policy within 3 months of the first unpaid premium, to policyholder and provide option to revive the Policy within Revival Period of 3 years

I. In case Policyholder opts to revive but does not revive Policy during Revival Period

- Proceeds of Pension DPF will be shall be utilized in one of the following ways at the end of the Revival Period or Lock-in Period whichever is later and the policy will terminate

Commutation



- Commute up to 60% and utilize the balance amount to purchase immediate/deferred annuity at the then prevailing rate from the Company, which will be guaranteed for life
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

100%

Pension



- Utilize entire proceeds of policy or part thereof for purchasing an immediate/deferred annuity at the then prevailing rate from the Company, which will be guaranteed for life
- Option of purchasing an immediate/deferred annuity at the then prevailing rate from any other insurer to the extent of the percentage, stipulated by the Authority, currently 50%, of the entire proceeds of the policy net of commutation

II. In case Policyholder does not exercise the option to revive the policy within the Revival Period

- Policy shall continue without any risk cover and the policy fund shall remain invested in the Pension DPF
- At the end of the Lock-in Period, the proceeds of the Pension DPF will be utilized as per two options listed in previous slide and the policy shall terminate

III. Policyholder has an option to surrender Policy anytime and proceeds of discontinued policy at the end of Lock-in Period or date of surrender whichever is later will be utilized as per two options listed in previous slide and the policy shall terminate

Discontinuance of Policy after Lock-in Period

- If due Premium is not received by expiry of Grace Period, Policy will be treated as discontinued
- All applicable charges as per terms and conditions of the policy shall be deducted during the Revival Period
- Upon such Discontinuance, Company will communicate status of the policy within 3 months of the first unpaid premium, to Policyholder and provide following options:
 1. Revive the Policy within a Revival Period of three years.
 2. Complete withdrawal of the Policy
 - I. In case Policyholder opts to revive (Option 1) but does not revive Policy during Revival Period**
 - Fund Value will be utilized as mentioned in earlier slide # 23 at the end of the Revival Period or at the end of the policy Term, whichever is earlier and policy will terminate
 - II. In case Policyholder does not exercise the option as set out above**
 - Fund Value will be utilized as mentioned in earlier slide # 23 at the end of the Revival Period or at the end of the policy Term, whichever is earlier and policy will terminate
 - III. Policyholder has an option to surrender Policy anytime** and Fund Value as on the date of surrender will be utilized as per two options listed in earlier slide #23 and the policy shall terminate
- For more details on Discontinuance clause, please refer product brochure available on company's website

Product Feature/Customer Benefits

Revival

- Policy can be revived any time before the Vesting date, within the revival period of 3 years.
- In case of Discontinuance of Policy due to non- payment of due premium(s), Policyholder can apply for revival of such a Policy by paying all due and unpaid Premiums, within Revival Period of 3 consecutive years from the date of first unpaid premium
- Company reserves the right to revive Policy either on its original or modified terms and conditions or reject the revival as per its Underwriting decision
- **At the time of revival, the Company will:**
 - Collect all due and unpaid Premiums without charging any interest or fee
 - Levy Premium allocation charges and Policy administration charge as applicable during discontinuance period
 - Add back to the Fund Value, discontinuance charges deducted at the time of discontinuance of Policy (applicable for policies discontinued during the Lock-in Period)
- Post revival, original risk cover will be restored in accordance with terms and conditions of policy

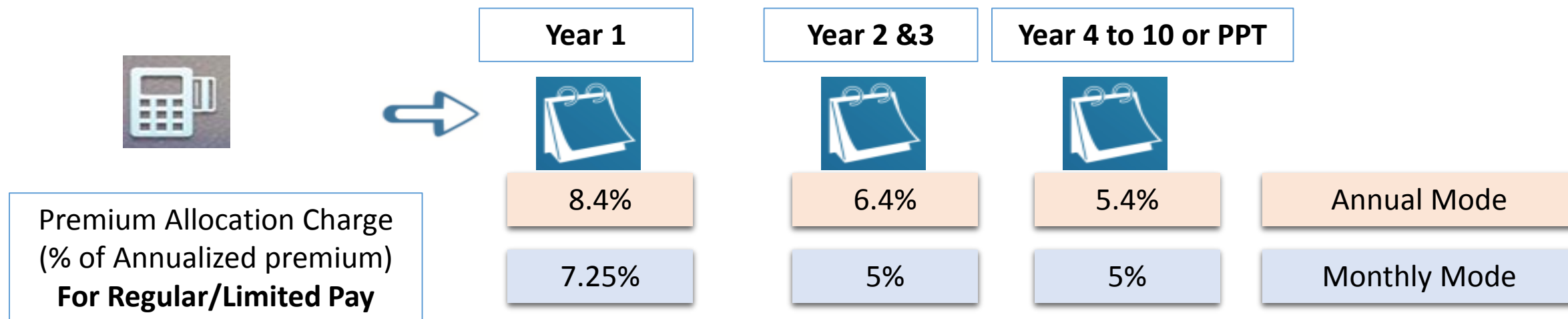
> For more details on Revival, refer to product brochure available on company's website

Charges

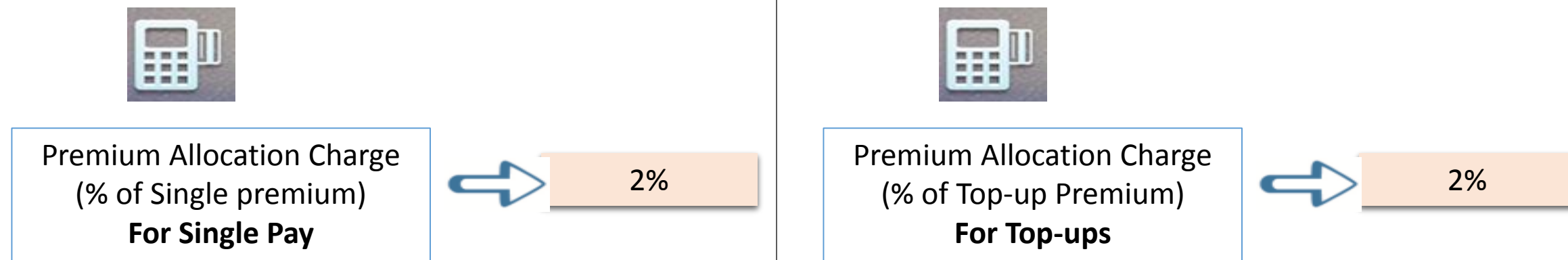
All charges are exclusive of Goods and Services Tax & applicable cess (es)/levy, If any, as applicable and amended from time to time which will be borne by the policyholder

Other Product Details

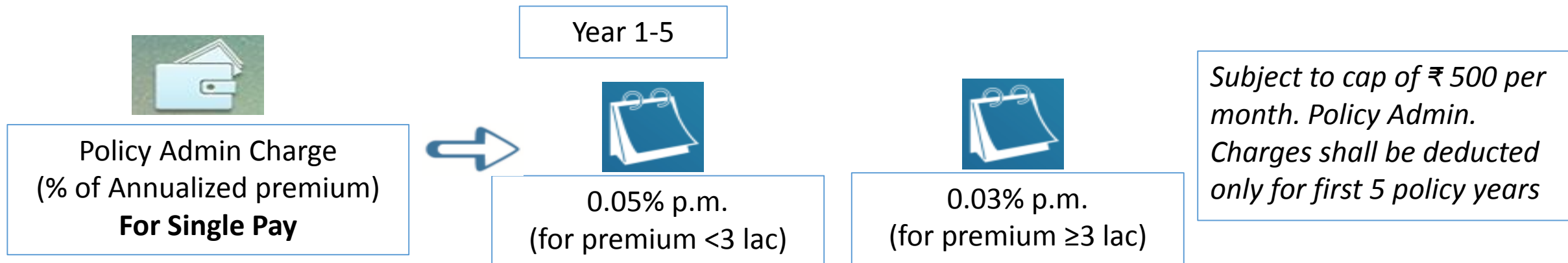
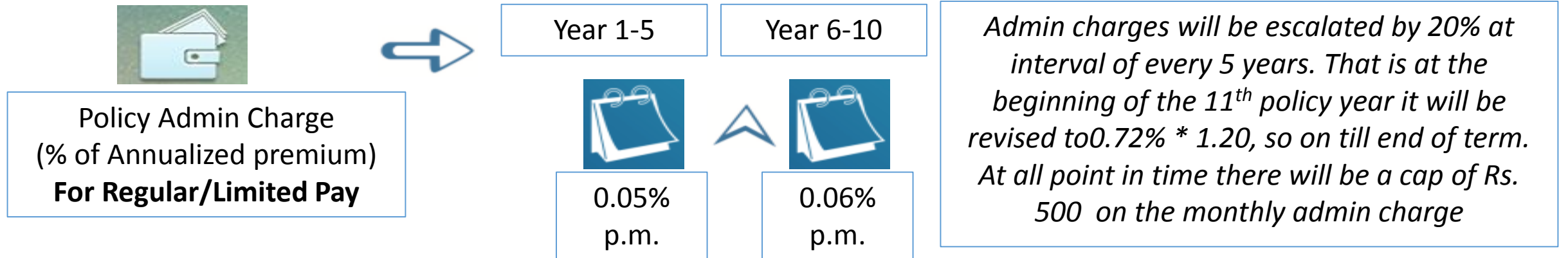
Charge Structure – (1/3)



Note: There is No Allocation Charges from 11th Year or post PPT, whichever is earlier.



Other Product Details Charge Structure – (2/3)



Switching Charge will be 250 per switch. However first 6 switches in a policy year are free of charge

Other Product Details

Charge Structure – (3/3)



Fund Management
Charge(% of Fund Value)



Pension Growth & Pension
Balanced Fund



1.35% p.a.

Pension Debt Fund



1.00% p.a

Pension Discontinuous Fund 0.5%



Investment Guarantee Charge
(% of Fund Value)



- 0.25% per annum for Pension Growth Fund
- 0.10% per annum for Pension Balanced Fund
- 0.00% for Pension Debt Fund

Other Product Details

Surrender/Discontinuance Charge –(1/2)

For Regular/Limited Pay

Policy is surrendered/ discontinued during the policy year	Surrender/Discontinuance charges with annualized premium up to ₹ 25,000/-	Surrender/Discontinuance charges with annualized premium above ₹ 25,000/-
1	Lower of 20% * (AP or FV) subject to maximum of ₹ 3,000	Lower of 6% * (AP or FV) subject to maximum of ₹ 6,000
2	Lower of 15% * (AP or FV) subject to maximum of ₹ 2,000	Lower of 4% * (AP or FV) subject to maximum of ₹ 5,000
3	Lower of 10% * (AP or FV) subject to maximum of ₹ 1,500	Lower of 3% * (AP or FV) subject to maximum of ₹ 4,000
4	Lower of 5% * (AP or FV) subject to maximum of ₹ 1,000	Lower of 2% * (AP or FV) subject to maximum of ₹ 2,000
5	NIL	NIL

- There will not be any Surrender/Discontinuance charges for a Surrender/Discontinuance request received by Company after 5th Policy anniversary or Policy is discontinued at least after five Policy Years

(AP – Annualized premium; FV – Fund Value)

Other Product Details

Surrender/Discontinuance Charge – (2/2)

For Single Pay

Policy is surrendered/discontinued during the policy year	Surrender/Discontinuance charges
1	Lower of 1% * (SP or FV) subject to maximum of ₹ 6,000
2	Lower of 0.5% * (SP or FV) subject to maximum of ₹ 5,000
3	Lower of 0.25% * (SP or FV) subject to maximum of ₹ 4,000
4	Lower of 0.1% * (SP or FV) subject to maximum of ₹ 2,000
5	NIL

- There will not be any Surrender/Discontinuance charges for a Surrender/Discontinuance request received by Company after 5th Policy anniversary or Policy is discontinued at least after five Policy Years

(SP – Single Premium; FV – Fund Value)

Product Application

Sample Benefit Illustration



aapke vaade,
sar aankhon par

Client Profile

- Mr. Rahul is a 40 years old working professional

Financial Goals

- He wants to plan his retirement, and hence build-up a retirement corpus which enables him to get a guaranteed stream of income, post his retirement at age 60
- He estimates that after meeting all his current and future expenses, he would be able to invest an amount of ₹1,20,000 per annum for the period of 20 years
- He also values the flexibility to invest more (through top-ups) whenever he has some extra money for his retirement corpus
- Furthermore, he wants to invest some part of his premiums into equities for higher growth, but at the same time he requires capital protection to safeguard his investments from the market volatility

Need Based Solution

- He decides to buy Canara HSBC Life Insurance Secure Bhavishya Plan, to fulfill his needs of retirement income, and growing his retirement corpus along with minimum guaranteed* Vesting benefit of 101% of all premiums paid (including top-ups)

Product Application

Sample Benefit Illustration

Assumptions:

- Male Age 40 yrs
- Policy Term: 20 yrs
- Premium Payment Term: 20 yrs (Regular Pay)
- Annual Premium: 1.20 lac
- Total Premium Paid: 24 lacs

Total Fund Value at Vesting Age:

@8% : ₹ 47,45,565

@4% : ₹ 30,54,513

1st Loyalty Addition

@8% : ₹ 68,504

@4% : ₹ 58,072

2nd Loyalty Addition

@8% : ₹ 56,314

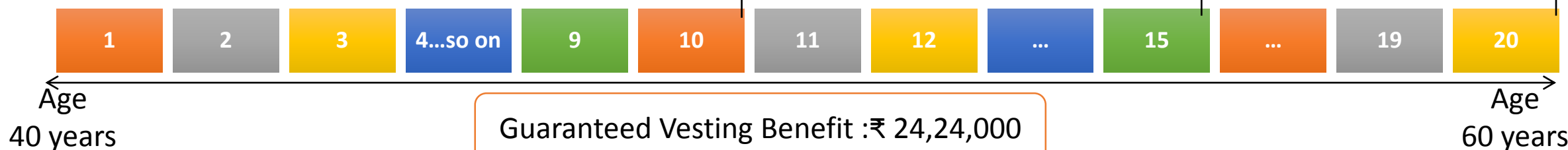
@4% : ₹ 43,088

2nd Loyalty Addition

@8% : ₹ 94,592

@4% : ₹ 64,735

Guaranteed Vesting Benefit : ₹ 24,24,000



The assumed Total Vesting Benefits (at 4% p.a. and 8% p.a. investment return scenario) shown in the above illustrative example are not guaranteed, and they are not the upper or lower limits of what you might get back, as the value of your policy depends on a number of factors including performance of investment funds. The Total Vesting Benefits (Fund Value) shown in the above illustrative example are after deduction of all charges including applicable taxes and cess (es), if any. On Vesting, customer may be required by applicable prevailing laws to use all or part of your Total Vesting Benefit to purchase an annuity

Annexure

Key Terms

- **Grace Period** : a period of 30 days for Annual Mode of Premium payment and 15 days for Monthly Mode of Premium payment from the due date to pay the Premiums, during which life insurance cover will continue
- **Revival Period** : period of three consecutive complete years from the date of first unpaid premium during which period the Policyholder is entitled to revive the Policy which was discontinued due to the non-payment of Premium
- **Lock-in Period**: period of 5 consecutive completed years from the date of commencement of the Policy, during which period proceeds of the discontinued policies cannot be paid by insurer to Policyholder or to Life Assured, as the case may be, except in case of death or upon the happening of any other contingency covered under the policy.
- **Free-look period**
 - Policyholder has the right to cancel Policy within 15 days from date of receipt of Policy document, and period of 30 days in case of electronic policies and policies obtained through distance mode, in case he/she does not agree with any of terms and conditions of Policy
 - If Policyholder cancels Policy during free look period, Company will refund Fund Value on the date of cancellation plus any non-allocated Premium amount plus any charge deducted by cancellation of units, after deducting proportionate risk premium for the period of insurance cover and expenses incurred on stamp duty and medicals (if any)
- **Pension Discontinued Policy Fund (Pension DPF)**: means the segregated fund of the insurer that is set aside and is constituted by the fund value, as applicable, of all the policies discontinued during the Lock-in Period. The Company will levy only Fund Management Charge as mentioned in 'Charges' section. The amounts credited to the Pension DPF will earn at least the Minimum Guaranteed Interest Rate.
- **Minimum Guaranteed Interest Rate**: This means the rate applicable to the Discontinued Policy Fund as declared by IRDAI from time to time. The current minimum guaranteed rate of interest applicable to the Discontinued Policy Fund is 4% per annum

Suicide Exclusion

- In case of death due to suicide within 12 months from date of commencement of Policy or date of revival of the Policy, Claimant shall be entitled to Fund Value as available on the date of intimation of death
- Any charges other than Fund Management Charges recovered subsequent to the date of death of the Life Assured shall be added back to Fund Value as available on the date of intimation of death
- Policy will terminate upon payment of such benefit amount
- The proceeds can be utilized by nominee/claimant as mentioned in death benefit slide # 11 'Option available to nominee on death'

Thank You

"This is the authorized presentation and should not be altered without the permission of the Insurance Company."

Version: Nov'19